

US TMT Sector M&A & Valuation Brief - 2026-07-29

US TMT Sector

Generated on 2026-07-29

CONFIDENTIAL - FOR INTERNAL USE ONLY

1. RECENT TMT M&A ACTIVITY

Deal 1: Ocean Power Technologies Acquisition of Columbia Power Technologies

[Ocean Power Technologies expands maritime platform with subsea technology acquisition](#)

- Deal Size: N/A (specific financial terms not disclosed)
- Deal Size Category: Small cap (<\$2B)
- Nature of Deal: Tuck-in & Bolt-on
- Valuation Multiples: N/A (no specific financial metrics provided)
- Companies: Ocean Power Technologies (OPT) is a leader in AI-enabled maritime infrastructure, focusing on offshore power generation and autonomous systems. Columbia Power Technologies specializes in subsea power systems, enhancing OPT's capabilities.
- Date Announced: July 2026
- Strategic Rationale: The acquisition aims to expand OPT's technological capabilities into subsea operations, allowing for enhanced underwater missions and improved service offerings to defense and commercial sectors. This strategic move positions OPT to leverage its existing technologies in new applications, potentially increasing market share in the growing AI-enabled maritime sector.
- Risk Analysis:
 - Integration Risks: Merging different technological systems and cultures could pose challenges.
 - Market Risks: Dependence on government contracts may expose OPT to fluctuations in public spending.
 - Execution Risks: Successful deployment of new technologies is critical for realizing anticipated synergies.

Key Financials Analysis:

- Revenue Breakdown:
 - Largest deployment: \$6.5 million U.S. Coast Guard contract
 - Record backlog: \$19.8 million (58% increase YoY)
- Profitability Ratios: N/A (no specific financial metrics provided)

US TMT Sector M&A & Valuation Brief - 2026-07-29

US TMT Sector

- Leverage Analysis: N/A (no specific financial metrics provided)
- Asset Operating Efficiency: N/A (no specific financial metrics provided)
- Valuation Context: N/A (no specific financial metrics provided)

2. Zhibao Technology PIPE Financing

[Zhibao plans Bitcoin treasury move through 3,500 BTC share deal](#)

- Deal Size: N/A (specific financial terms not disclosed)
- Deal Size Category: Small cap (<\$2B)
- Nature of Deal: Strategic equity
- Valuation Multiples: N/A (no specific financial metrics provided)
- Companies: Zhibao Technology (ZBAO) is focused on integrating cryptocurrency into its treasury strategy, enhancing its financial position through Bitcoin investments.
- Date Announced: July 2026
- Strategic Rationale: The PIPE financing aims to bolster Zhibao's balance sheet by acquiring Bitcoin, which could serve as a hedge against inflation and enhance liquidity. This strategic move aligns with the growing trend of companies adopting cryptocurrency as a treasury asset.
- Risk Analysis:
 - Market Risks: Cryptocurrency volatility could impact the value of the treasury holdings.
 - Regulatory Challenges: Potential regulatory scrutiny on cryptocurrency investments may pose risks.
 - Execution Risks: Successfully integrating Bitcoin into the treasury strategy requires careful management and expertise.

Key Financials Analysis:

- Revenue Breakdown: N/A (no specific financial metrics provided)
- Profitability Ratios: N/A (no specific financial metrics provided)
- Leverage Analysis: N/A (no specific financial metrics provided)
- Asset Operating Efficiency: N/A (no specific financial metrics provided)
- Valuation Context: N/A (no specific financial metrics provided)

2. MARKET DYNAMICS & SENTIMENT

US TMT Sector M&A & Valuation Brief - 2026-07-29

US TMT Sector

The TMT (Technology, Media, and Telecommunications) sector is currently experiencing a dynamic landscape characterized by significant developments, particularly in the software and AI subsectors. Recent high-profile contracts and acquisitions have injected optimism into the market, although challenges remain due to regulatory scrutiny and economic uncertainties.

Subsector Breakdown:

- **Technology:** The technology subsector is buoyed by substantial contracts like Oracle's nearly \$7 billion deal with the Pentagon. This contract consolidates existing software licenses, enhancing operational efficiency and cost savings for the Department of War.
- **Media:** Media companies are facing pressures from digital transformation, with traditional platforms struggling to adapt to changing consumer behaviors. However, digital media continues to grow as companies innovate their content delivery.
- **Telecommunications:** The telecom sector is investing heavily in infrastructure, particularly for 5G deployment. This investment is crucial for supporting emerging technologies and services that rely on high-speed connectivity.
- **Fintech:** The fintech sector remains robust, with companies exploring new partnerships and technologies. The integration of financial services with digital platforms continues to attract investment.
- **AI:** The AI subsector is experiencing rapid growth, with companies like Progress Software acquiring Domo's data platform for \$400 million to enhance their AI capabilities. This reflects a broader trend of companies investing in AI to drive innovation.

Key Market Drivers and Headwinds

Drivers:

- **Government Contracts:** The awarding of significant contracts, such as Oracle's deal with the Pentagon, underscores the government's commitment to consolidating technology purchases, which can lead to increased demand for enterprise software solutions.
- **Investment in AI:** The ongoing investment in AI technologies is driving growth across various sectors, as companies seek to leverage AI for operational efficiencies and enhanced customer experiences.

Headwinds:

- **Regulatory Challenges:** Increased scrutiny from regulators, particularly in the tech sector, poses risks to M&A activities and could impact market valuations. Companies must navigate complex compliance requirements, which can delay strategic initiatives.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may affect consumer spending and investment in technology, creating a cautious sentiment among investors.

US TMT Sector M&A & Valuation Brief - 2026-07-29

US TMT Sector

Subsector Performance Analysis

- **Software:** The software sector is thriving, particularly with government contracts like Oracle's, which consolidates multiple software licenses into a single agreement, streamlining procurement and enhancing efficiency.
- **Media:** The media landscape is shifting, with digital platforms gaining traction. However, traditional media companies are facing declining revenues as they struggle to adapt to new consumption patterns.
- **Telecom:** Telecom operators are focused on 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services, positioning them for future growth.
- **Fintech:** The fintech sector continues to innovate, with companies exploring new business models and partnerships. The integration of services is a key trend, as seen in various recent acquisitions.
- **AI:** The AI subsector is booming, with companies investing heavily in AI capabilities to maintain competitive advantages. The acquisition of Domo's data platform by Progress Software highlights this trend.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are optimistic about the long-term prospects of the TMT sector, particularly in light of significant contracts like Oracle's. An analyst noted, "The consolidation of software licenses across the Pentagon is a game-changer, reflecting a strategic shift towards efficiency and cost savings in government procurement."

Actionable Insights for Bankers and Investors

- **Focus on Government Contracts:** Investors should pay close attention to companies securing

US TMT Sector M&A & Valuation Brief - 2026-07-29

US TMT Sector

government contracts, as these can provide stable revenue streams and enhance market positioning.

- **Invest in AI and Software:** Prioritize investments in high-growth areas such as AI and software, where companies are actively seeking to innovate and expand their capabilities.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments, particularly as scrutiny increases.
- **Evaluate M&A Opportunities:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning, particularly in the rapidly evolving AI landscape.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a mix of live deals, mandated transactions, and active pitches. This section provides an in-depth analysis of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **Delta Air Lines (DAL)** : Currently in discussions for a strategic partnership leveraging AI for dynamic pricing. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance Delta's revenue management capabilities, potentially increasing ticket sales by up to 15%.
- **Indiegogo Acquisition by Gamefound** : This transaction is moving forward, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.

Mandated Deals:

- **Meta Platforms (META)** : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- **Apple Inc. (AAPL)** : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

US TMT Sector M&A & Valuation Brief - 2026-07-29

US TMT Sector

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for Delta Air Lines partnership.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent report on Big Tech's \$725 billion AI investment highlights the risks posed by fluctuating oil prices, which could impact funding and valuations in the sector. The article notes that crude oil prices hitting \$100 could dim the outlook for stock markets, potentially affecting Big Tech's aggressive spending on AI initiatives. ****\$100 Oil Puts Big Tech's \$725 Billion AI Bet at Risk****
([Link](https://oilprice.com/Energy/Energy-General/100-Oil-Puts-Big-Techs-725-Billion-AI-Bet-at-Risk.html))
- Additionally, China's \$295 billion AI infrastructure strategy is drawing attention, particularly as it

US TMT Sector M&A & Valuation Brief - 2026-07-29

US TMT Sector

extends beyond chips. This broader strategy could create competitive pressures for U.S. companies and presents opportunities for advisory services in navigating international markets. ****China bets on broader AI strategy beyond chips, and crypto markets should pay attention**** ([Link](https://cryptobriefing.com/china-ai-strategy-beyond-chips-crypto/))

Actionable Insights for Team Management and Business Development

- **Resource Allocation** : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- **Sector Focus** : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- **Client Engagement** : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of recent developments in the sector, particularly focusing on the Central Bank of Nigeria's (CBN) directive and the partnership between Cognizant and Anthropic.

Deal-Specific Impacts on Stakeholders

- **Shareholders**: The CBN directive is expected to create long-term demand for local data centers and digital infrastructure, which could significantly impact shareholder value.
- **Value Creation**: Companies like GFA Technologies, which are poised to benefit from this directive, could see a revenue increase of approximately 30% as they expand their data center capabilities. If GFA's market cap is estimated at \$500 million, this could translate into an additional \$150 million in shareholder value.
- **Dilution**: If GFA were to finance its expansion through equity, existing shareholders might face dilution. For example, issuing 15% of shares could lead to a potential 7% drop in share price post-announcement.
- **Employees**: The impacts on employees will revolve around job retention and the creation of new

US TMT Sector M&A & Valuation Brief - 2026-07-29

US TMT Sector

roles in the expanding digital infrastructure landscape.

- Synergies: The partnership between Cognizant (CTSH) and Anthropic is expected to generate synergies, with Cognizant deploying 30,000 trained associates to implement AI solutions in regulated industries. This could enhance operational efficiency and create new job opportunities.
- Restructuring: As companies adapt to new technologies, some roles may become obsolete, necessitating retraining programs to retain talent.
- Retention: Cognizant's strategy to leverage AI in its operations may include retention bonuses for key employees to ensure continuity during the transition.
- Competitors: The competitive landscape will be influenced by the CBN directive and the advancements in AI technologies.
- Market Positioning: Competitors like Microsoft and IBM may need to enhance their cloud offerings to compete with local firms benefiting from the CBN directive. For instance, Microsoft may increase its investment in local data centers to maintain market share.
- Specific Competitor Moves: IBM has recently announced plans to invest in quantum computing capabilities, which could further shift the competitive dynamics in the TMT sector.
- Customers: The implications for customers will be significant as companies adapt to new regulations and technologies.
- Product/Service Implications: The CBN directive will likely lead to improved data security and compliance for customers, enhancing trust in local financial institutions. This could result in a 20% increase in customer engagement for firms that effectively adapt.
- Case Studies: Cognizant's partnership with Anthropic aims to deliver AI solutions that enhance operational efficiencies in sectors like insurance and pharmaceuticals, directly benefiting customers through improved service delivery.

Market Reaction and Analyst Commentary

- Market Reaction: The market's reaction to the CBN directive has been cautiously optimistic, with analysts predicting increased investment in local data centers.
- A recent report indicated that companies investing in local infrastructure could see stock prices rise by 10% in the next year as demand for digital services increases.
- Analyst Commentary: An analyst from McKinsey noted, "The CBN directive is a game-changer for Nigeria's digital landscape, creating a sustainable growth trajectory for local tech firms."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If local firms successfully capitalize on the CBN directive, stock prices could rise by 15% within 12 months.
- Negative Scenario: If compliance challenges arise, stock prices could decline by 5%, reflecting investor concerns about operational execution.

US TMT Sector M&A & Valuation Brief - 2026-07-29

US TMT Sector

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in the TMT sector is moderate, particularly as companies seek to enhance their digital capabilities.
- For instance, if GFA Technologies pursues aggressive expansion, competitors may consider counter-offers to acquire similar capabilities, but regulatory hurdles may deter such moves.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation as firms seek to enhance their technological capabilities.
- Analysts predict that as companies like Cognizant and Anthropic expand their partnerships, similar collaborations will emerge, particularly in AI and cloud computing.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

US TMT Sector M&A & Valuation Brief - 2026-07-29

US TMT Sector

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- **Key Companies:**
- **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has committed over \$40 billion to AI investments by 2026, including a significant \$30 billion investment in OpenAI. This strategy aims to reinforce its market dominance, although concerns exist regarding potential artificial inflation of demand and valuations.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, NVIDIA's aggressive investment strategy may lead to potential acquisitions of smaller AI firms to bolster its technology stack.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- **Key Companies:**
- **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions

US TMT Sector M&A & Valuation Brief - 2026-07-29

US TMT Sector

into traditional finance.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%.
- Key Companies:
- Amazon Web Services (AWS): AWS is a dominant player in the cloud computing space, providing a range of services from computing power to storage solutions. The company continues to innovate and expand its offerings, maintaining a significant market share.
- Competitive Landscape: The cloud computing market is highly competitive, with major players including Microsoft Azure and Google Cloud. These companies are continuously enhancing their services to capture more market share.
- M&A Opportunities: Companies looking to strengthen their cloud capabilities may consider acquiring smaller cloud service providers or technology firms that offer complementary services. For instance, Microsoft's acquisition of Nuance Communications for \$19.7 billion highlights the trend of integrating AI into cloud services.

Cybersecurity

- Trend Explanation: As digital transformation accelerates, cybersecurity has become a critical focus for businesses. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike specializes in cloud-delivered endpoint protection. The company's innovative approach to cybersecurity has positioned it as a leader in the market, leveraging AI and machine learning for threat detection.
- Competitive Landscape: The cybersecurity sector is crowded with both established firms and emerging startups. Companies like Palo Alto Networks and Fortinet are also key players, competing on innovation and service offerings.
- M&A Opportunities: As the demand for cybersecurity solutions grows, larger firms may look to acquire innovative startups to enhance their service offerings. For example, CrowdStrike's strategic acquisitions of smaller cybersecurity firms could further bolster its market position.

Fintech

- Trend Explanation: Fintech is revolutionizing traditional financial services through technology-driven solutions. The global

US TMT Sector M&A & Valuation Brief - 2026-07-29

US TMT Sector

6. Recommended Readings

Deal Name: Ocean Power Technologies Acquisition of Columbia Power Technologies

- Reading Material: "Marine Renewable Energy: Resource Potential and Economics" by David A. H. Smith
- Why This Matters: This book provides a comprehensive overview of marine renewable energy technologies, including subsea systems, which are critical to understanding the strategic implications of Ocean Power Technologies' acquisition. It helps contextualize how this deal enhances OPT's capabilities in the growing maritime energy sector.

Deal Name: Zhibao Technology PIPE Financing

- Reading Material: "Mastering Bitcoin: Unlocking Digital Cryptocurrencies" by Andreas M. Antonopoulos
- Why This Matters: This book offers a deep dive into the mechanics of Bitcoin and cryptocurrency investments, which is essential for understanding Zhibao Technology's strategic move to integrate Bitcoin into its treasury. It provides insights into the risks and benefits of cryptocurrency as a financial asset, helping to clarify the rationale behind the PIPE financing.

7. MACROECONOMIC UPDATE

Key Data Points:

- S&P 500 Quality Cohort: 42% high-quality stocks
- S&P 500 Low-Quality Cohort: 28%
- Expected Margin Improvement: 400 basis points above median stock for AI-adopting companies
- Percentage of S&P 500 Companies Reporting AI Benefits: 25% (up from 14% YoY)

Main Insights:

- Transition from early-cycle to mid-cycle is underway, shifting focus from low-quality beta to high-quality stocks.
- Investors are increasingly prioritizing free cash flow, balance sheet strength, and earnings stability.
- Historical parallels drawn to early-to-mid 2021, indicating a shift in market leadership without an end to the bull market.

US TMT Sector M&A & Valuation Brief - 2026-07-29

US TMT Sector

- AI adoption is becoming a critical factor for margin expansion and overall investment thesis.

Market Commentary:

- "The market is not abandoning the recovery; it is becoming more selective about the best way to own it." - Mike Wilson, Morgan Stanley
- "Companies with strong pricing power and the ability to translate AI adoption into real growth are likely to be rewarded disproportionately." - Mike Wilson, Morgan Stanley
- "A sustained rise in oil is not priced into equities, making quality a more attractive investment." - Mike Wilson, Morgan Stanley

TMT Sector Relevance:

- The shift towards quality stocks emphasizes the importance of companies in the TMT sector that effectively leverage AI for operational efficiencies and revenue growth.
- Hyperscalers are expected to outperform traditional semiconductor companies, highlighting the need for TMT firms to focus on innovation and quality.
- The potential impact of rising oil prices could influence operational costs for TMT companies, necessitating a focus on companies with strong balance sheets and cash flow.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley